



BlackRock®

Blackrock
30/01/2025

Financials Team



Agenda

BlackRock®

1 Company Overview

2 Industry Overview

3 Investment Thesis

4 Valuation

5 Catalysts and Risks

6 Recommendation



Company Overview

Company Highlights

- **History:** BlackRock was founded in 1988 by Larry Fink and is the world's largest asset manager. Initially focused on fixed income, BlackRock has expanded into a global investment management firm with expertise in equities, real assets, and alternative investments. Recent milestones include managing over \$11.5 trillion in assets as of 2023 and playing a significant role in advising governments during financial crises. Larry Fink continues to lead the firm, emphasizing sustainable investing and long-term value creation.
- **Valuation:** As a publicly traded company, BlackRock's market capitalization has grown significantly over the years. The firm's market capitalization has surpassed \$100 billion, reflecting its strong performance and global reach.
- **Strategy:** BlackRock employs a diverse range of investment strategies, including active management, indexing, and alternative investments. The firm is known for its risk management capabilities and innovative use of technology, such as its Aladdin platform. BlackRock has also integrated ESG factors into its investment processes. The firm aims to expand its presence in emerging markets and continue innovating in the fintech space.
- **Corporate Finance Transactions:** BlackRock has made strategic investments and acquisitions to enhance its offerings and market position. Notably, it acquired Barclays Global Investors in 2009, which significantly boosted its assets under management. More recently, BlackRock increased its stake in various tech companies and renewable energy projects, reflecting its commitment to sustainable growth. Recently bought HPS Investment Partners (private credit firm managing \$148Bn in client assets) and Preqin (private markets data providers).

Valuation & Share Performance

Key Valuation Statistics

Enterprise Value	148.77bn	Revenue (FY24)	20.4bn
Market Cap	149.24bn	EBITDA (FY24)	7.54bn
P/E	22.68x	EBITDA Margin '24	0.37
EV/EBITDA	19.64x	Debt / EV	0.095
Cash	16bn	Total Debt	14.17bn





Key Metrics

Industry Data	Average
<i>Asset Management</i>	
EV/EBITDA - 19.64x	10-15
EV/Revenue - 7.29x	2-3
P/E - 22.68x	15-20

Key Metrics	Unit
Gross Margin	100%
ROIC	12.95%
Debt to Equity	29.8%
Cash ratio	17.9%
ROA	0.055%
Pretax Margin	40.65%

Revenue Mix	%	Gross (\$mm)
Management revenue	75.8	15.485
Performance fees	5.91	\$1.207
Technology Services Revenue	7.85	\$1.603
Distribution Fees	6.23	\$1.273
Advisory & Other Revenues	1.13	\$0.224



BlackRock Business Model

Operating Segments

BlackRock generates revenue through 3 core business segments :

- **Asset Management** : BlackRock is the world's largest asset manager, specializing fund investments, multi-asset strategies and cash management.
- **Technology Services** : BlackRock Solutions (risk management division of Blackrock) offers risk management and investment analytics through its Aladdin electronic system. Aladdin managed \$21.6T in assets as of 2020.
- **Advisory Services** : BlackRock offers tailored financial and risk management solutions to a diverse clientbase. BlackRock has notably advised the FED during the 2008 financial crisis and the 2020 Covid-19 pandemic.

Key Figures

- Revenue for FY 2024: €20 407 million
- Net Adjusted Income for FY 2024: €6 369 million
- Net Adjusted Income for Q4 2024: €1 670 million (growing 21% YoY)
21 100 employees
- Assets Under Management : \$11 551 billion
- ETFs: exceeded \$390 billion
- Market cap : \$149.24 billion

Competitors



Vanguard[®]

Edward Jones[®]
MAKING SENSE OF INVESTING

 **STATE STREET**SM

Amundi
ASSET MANAGEMENT

 **Fidelity**[®]
INVESTMENTS

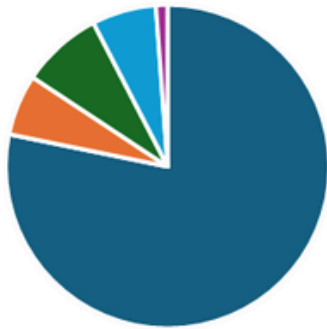


Operating Forecast

Revenue Drivers

Revenue & EBITDA Forecast

Revenue Drivers



- Management revenue
- Performance fees
- Technology Services Revenue
- Distribution Fees
- Advisory & Other Revenues

(In millions of dollars)	2021	2022	2023	2024	2025E	2026E
Operating Income	7750	6385	6275	7574	7953	8351
Operating Income Growth %	-6%	10%	12%	9%	17%	
Net Profit	5502	5178	5692	6369	6948	8119
Net Profit Growth %	-6%	10%	12%	9%	17%	
Total Adjusted EBITDA	7865	6803	6702	7574	9947	11260
EBITDA Margin %	41%	38%	38%	41%	42%	43%

Management revenues : BlackRock's operating income for the full year 2024 was \$7,574 billion. The net income for 2024 was \$6.369 billion, and the adjusted net income was \$6.369 billion.

For the fourth quarter of 2024, BlackRock's operating income was \$2,326 billion which is a 36% increase year-on-year. The net income for Q4 2024 was \$1.874 billion (29% YoY increase).

These figures reflect BlackRock's strong financial performance and strategic growth initiatives.

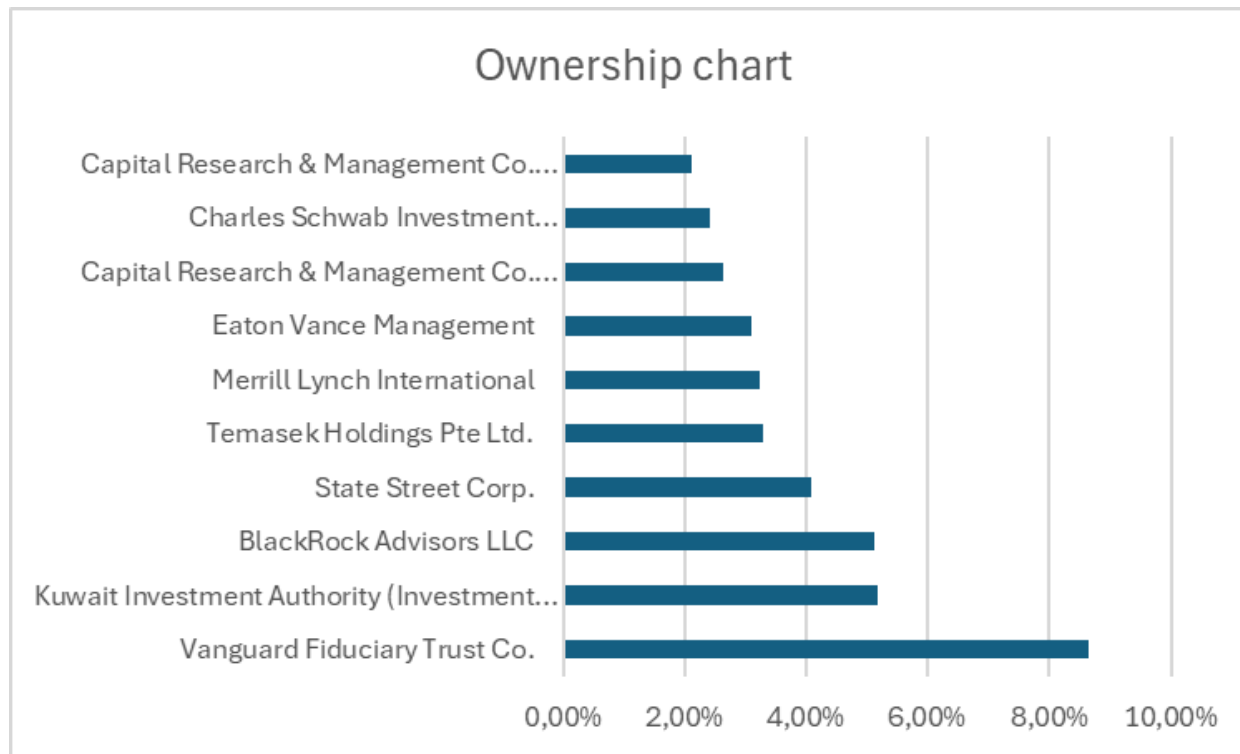


Shareholder Ownership Analysis

Ownership Analysis

Amundi's ownership structure is split between institutional investors (61.87%) and private ones (39.13%). The top institutional investors are Vanguard (9.04%), State Street Corp (4,21%) and Bank of America (3,45%).

The high margin of institutional investors symbolises their confidence in the firm's growth prospect and are a sign of stability, as they tend to hold on to their shares. However, they can pressure the company for short term results and can set trends which could negatively impact the share price.





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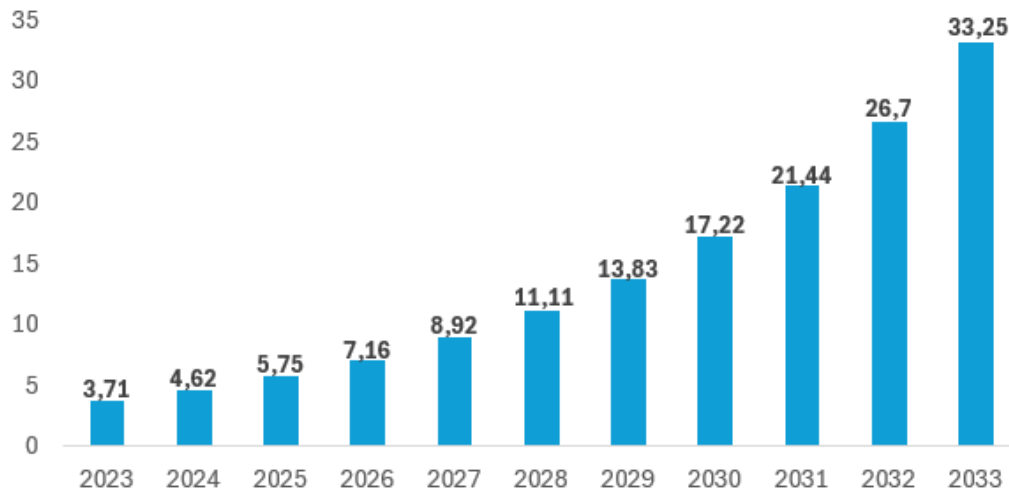


Industry Overview

○ Key Factors

□ Primary Factor

AI in Asset Management Market Size 2023 to 2033
(USD Billion)



- Technology shaping the industry

AI and machine learning enhance portfolio optimization and risk assessment, while fintech solutions like robo-advisors and blockchain improve efficiency, transparency, and accessibility for investors.

- Rise of Passive Investing

Passive strategies, particularly ETFs, continue to gain traction due to their low cost, transparency, and liquidity. While active management still plays a role, most active funds struggle to consistently outperform benchmarks net of fees.

- Growing Demand for Alternative Investments

Investors seek diversification beyond traditional stocks and bonds, turning to private equity, hedge funds... These assets offer non-correlated returns and potential illiquidity premiums but come with higher risks and complexity.

- Regulatory Changes and Compliance

As financial markets evolve, so do the regulations. Asset managers must stay ahead of new compliance requirements, such as those related to ESG disclosures, data protection, and anti-money laundering, to avoid penalties and maintain trust with investors.



Business Overview - Competitive Landscape

○ Competitors and partners

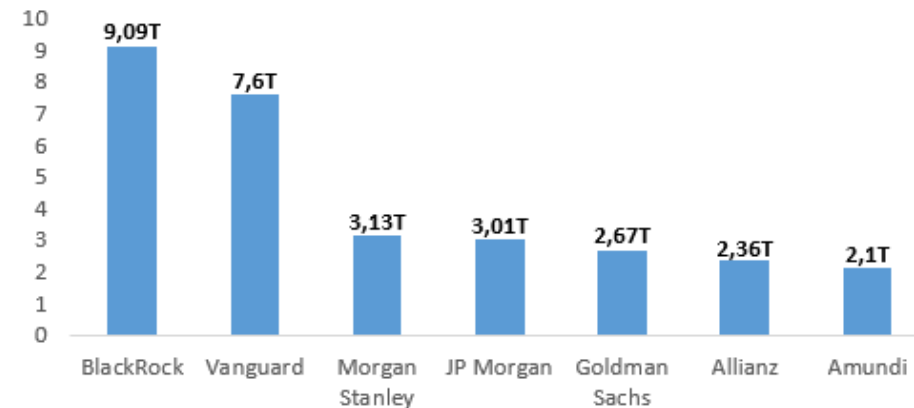
• Competitors

- **Vanguard** : A major force in passive management with ultra-low-cost index funds and ETFs. Its investor-owned structure gives it a pricing edge over traditional asset managers like Amundi.
- **State Street Global Advisors (SSGA)** : The third-largest asset manager globally, best known for its SPDR ETF range, including the SPY ETF, a major rival to BlackRock's iShares S&P 500 ETF.
- **Fidelity Investments** : A strong competitor in both active and passive investing, with a focus on active mutual funds, retirement solutions, and growing ETF offerings challenging BlackRock's dominance.

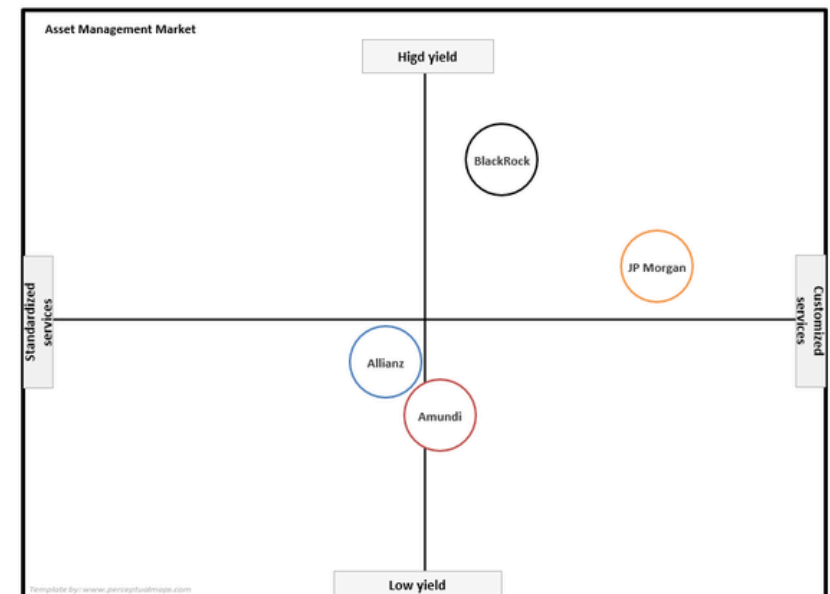
• Partners

- **Microsoft** : A strategic collaboration to integrate BlackRock's Aladdin platform with Microsoft's cloud services, enhancing data analytics and risk management capabilities for institutional investors.
- **J.P. Morgan** : A key partner in financial services, collaborating on ETF liquidity solutions and institutional trading infrastructure to improve market efficiency.
- **Temasek** : Partnering to develop private market investment solutions, leveraging BlackRock's expertise in alternatives and Temasek's strong presence in Asia.

Top Asset Management Firms (Based on AUM of March 2023)



Positioning Mapping



Business Overview - Key Trends



○ Key trends for the industry

• Short term

- Market Volatility & Inflation Hedging

Investors prioritize inflation-resistant assets (commodities, real estate, inflation-linked bonds) amid macroeconomic uncertainty.

- Increased ETF Adoption

ETFs continue gaining traction as cost-conscious investors shift from active funds to passive, rules-based strategies.

• Medium term

- Rise of AI & Fintech in Asset Management

AI-driven investment models, robo-advisors, and blockchain-based solutions reshape portfolio management and client interactions.

- Shift Towards Personalization

Data-driven strategies enable hyper-personalized portfolios based on investor risk profiles, goals, and behavioral patterns.

• Long term

- Mainstream Adoption of Tokenization & Blockchain

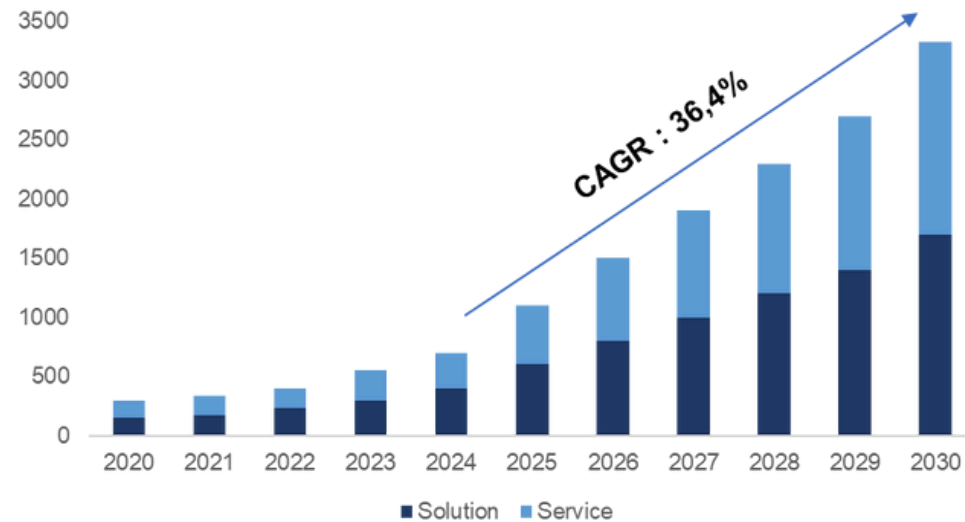
Asset tokenization enhances liquidity, fractional ownership, and access to previously illiquid asset classes.

- Continued Growth of ESG & Impact Investing

Sustainability becomes a fundamental driver of investment decisions, influencing capital flows and corporate strategies.

02/12/2024

Asset Management Market Size
by Component, 2020 - 2030 (USD Billion)





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Investment Thesis

Resilience Amidst Market Cycles

- Diversified investment offerings and has a track record for navigating economic downturns
- Global presence and scale provide stability in volatile market conditions
- Leading role in passive investing and ETFs

Innovation and Product Expansion

- Dominance in ETFs through iShares, leader in the passive investing trend
- Strong commitment to ESG and sustainable investing
- Investments in AI and data analytics, such as Aladdin, enhance risk management and portfolio optimization.

Short-Term Volatility vs. Long-Term Growth

- Market corrections may temporarily impact AUM and fee revenue.
- Continued global expansion and demand for institutional asset management support long-term potential.
- Growing retail and wealth management presence provides diversification and long-term revenue stability.



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DCF Model Output

Model Hypothesis

Hypothèses (M\$)	
EBIT	7574
Impôts	21,79%
Amortissements	109
CAPEX	344
VAR BFR	918
FCF	4771
g	4,31%
WACC	7,8%
Dette Nette	14180,00

with $FCF = EBIT - \text{impôts} + \text{amortissements} - \text{Capex} \pm \text{Variation BFR}$
 US T Bonds 10 years
 Analyse PWC

1- Cash Flow Projection and Actualisation

Projection Cash Flow		Actualisation FCF	
Année			
1	4771		4425
2	4976		4282
3	5191		4144
4	5414		4009
5	5648		3880

3- Cash Flow Projection and Actualisation

Calcul Valeur Actions	
Equity Value	113055
Valeur Action	730

154,88 M shares outstanding

2- Entreprise Value

Calcul Valeur Entreprise	
VT	155032
VT Actualisée	106495
EV	127235

$$EV = \sum \left(\frac{FCF_t}{(1 + WACC)^t} \right) + \frac{VT}{(1 + WACC)^n}$$



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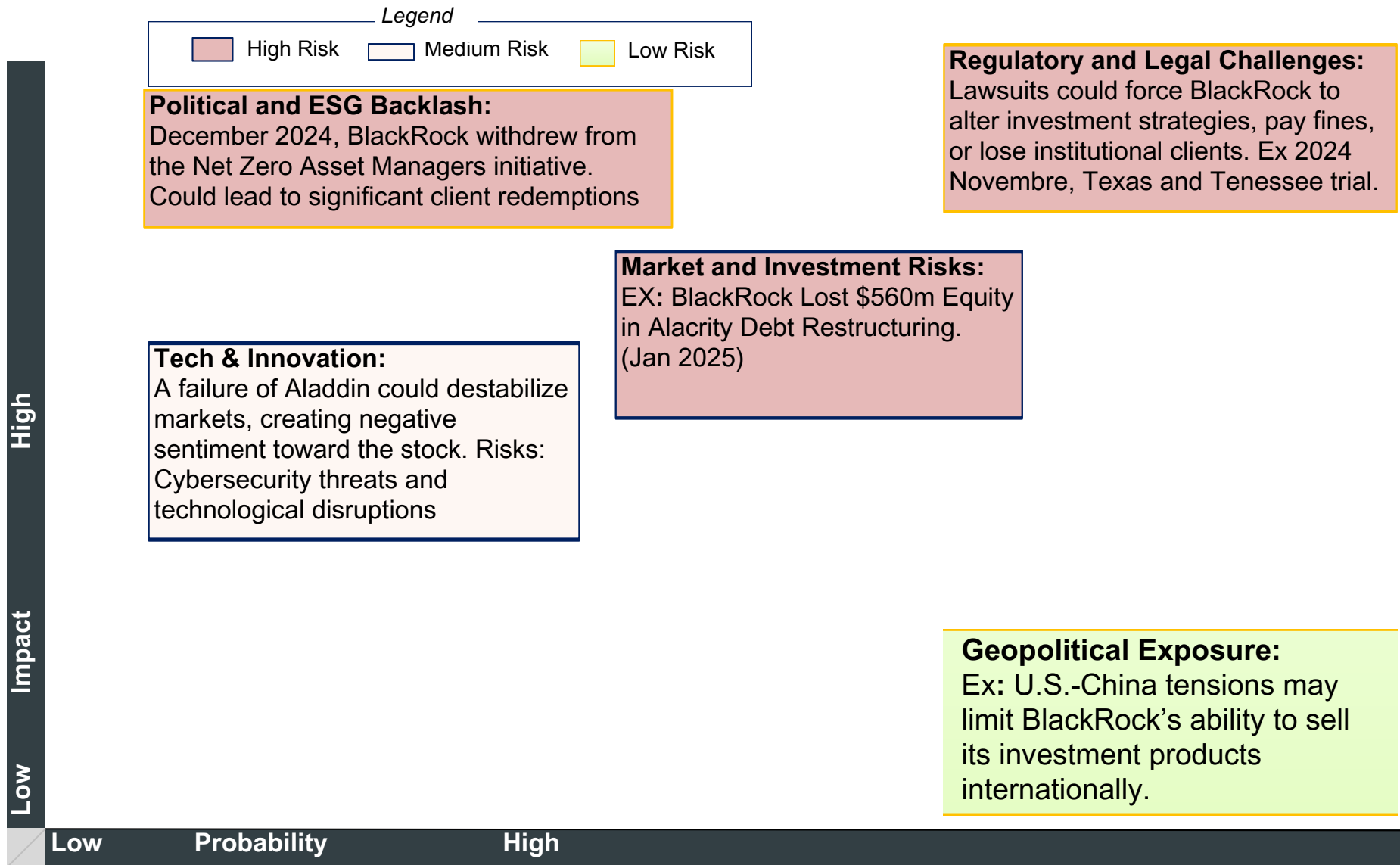
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Risk Considerations





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